

Escentials LLC

FY2025 Business Review

Financial statements, budget performance, customers and the FY2026 outlook

Illustrative figures for privacy: modeled on the business's size, channels and products, not its actual results.

Prepared by George Murad

Executive summary

A profitable year, carried by the own brand line and a strong holiday season

\$202.7K

Net revenue

30.7%

Gross margin

\$13.2K

Net income, 6.5% margin

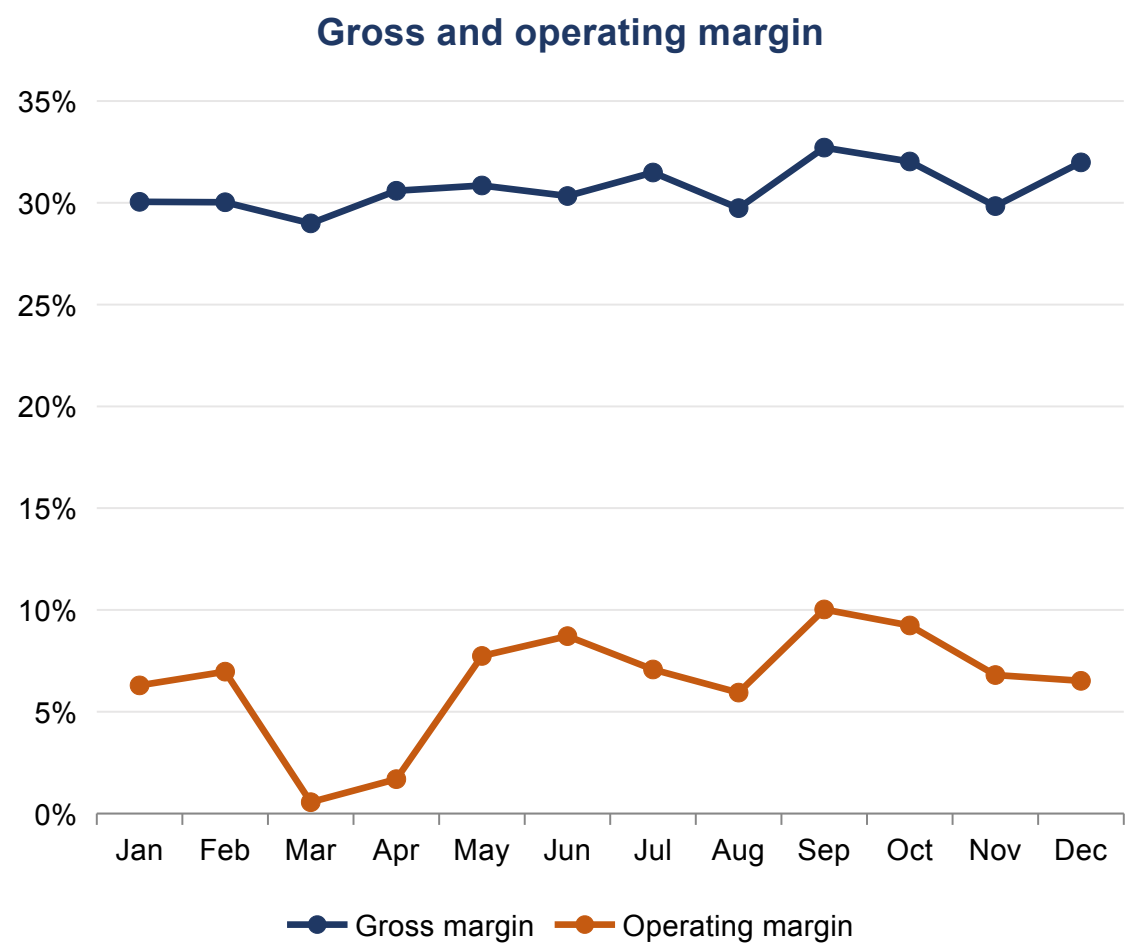
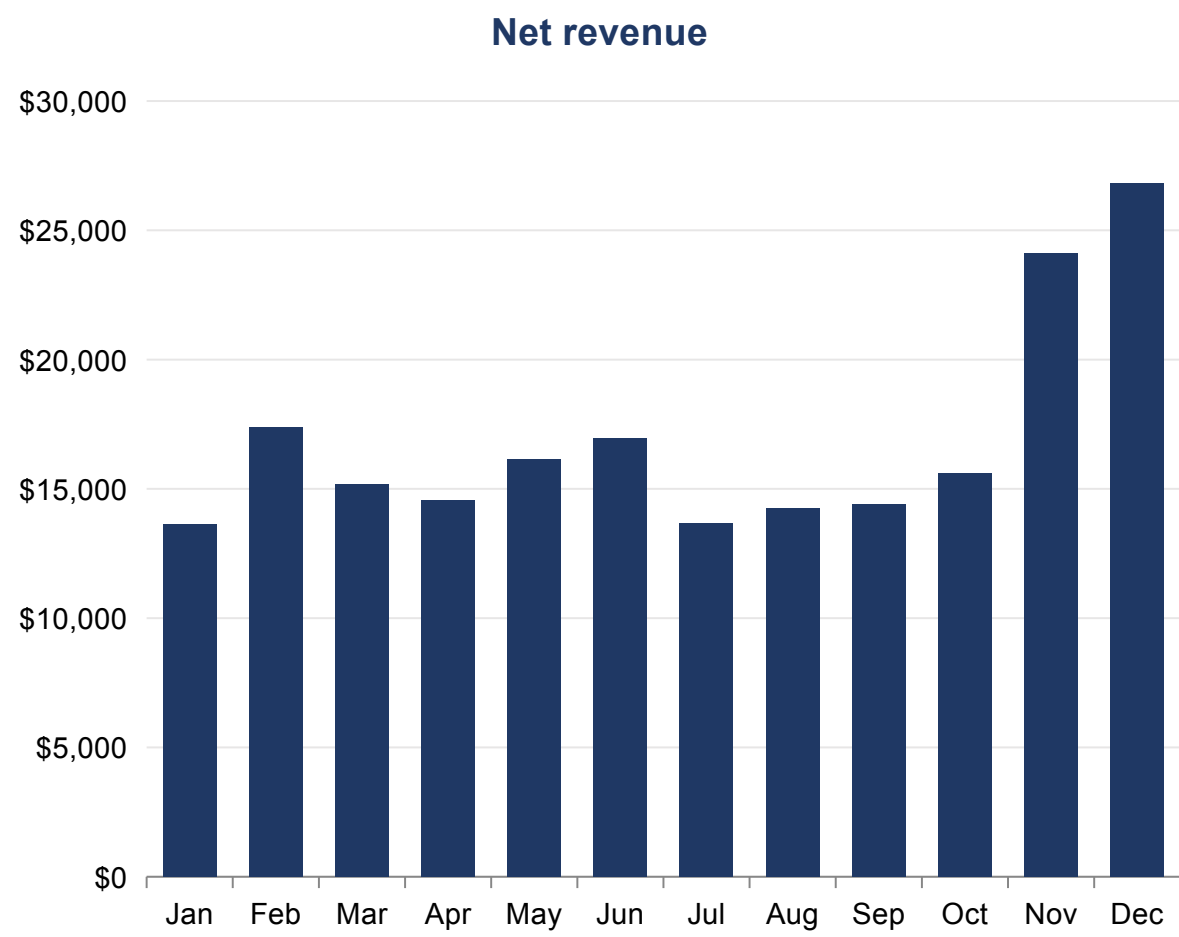
\$13.3K

Cash at December 31

- Car Perfume, the own brand line, is 14.9% of merchandise sales but 39.0% of product gross profit: the highest return on every dollar of shelf space.
- Spending ran 21.2% under the flat \$20,000 monthly budget, but Nov ran \$2,443 over and Dec ran \$5,027 over: phase the FY2026 budget by season.
- eBay brings 58.0% of sales at higher order values; Shopify customers come back 1.9 times as often.
- Base case FY2026: net revenue \$223.0K and net income \$15.8K, funding distributions from operating cash.

Revenue and profit by month

November and December carry the year; March and April are the soft spot



Income statement

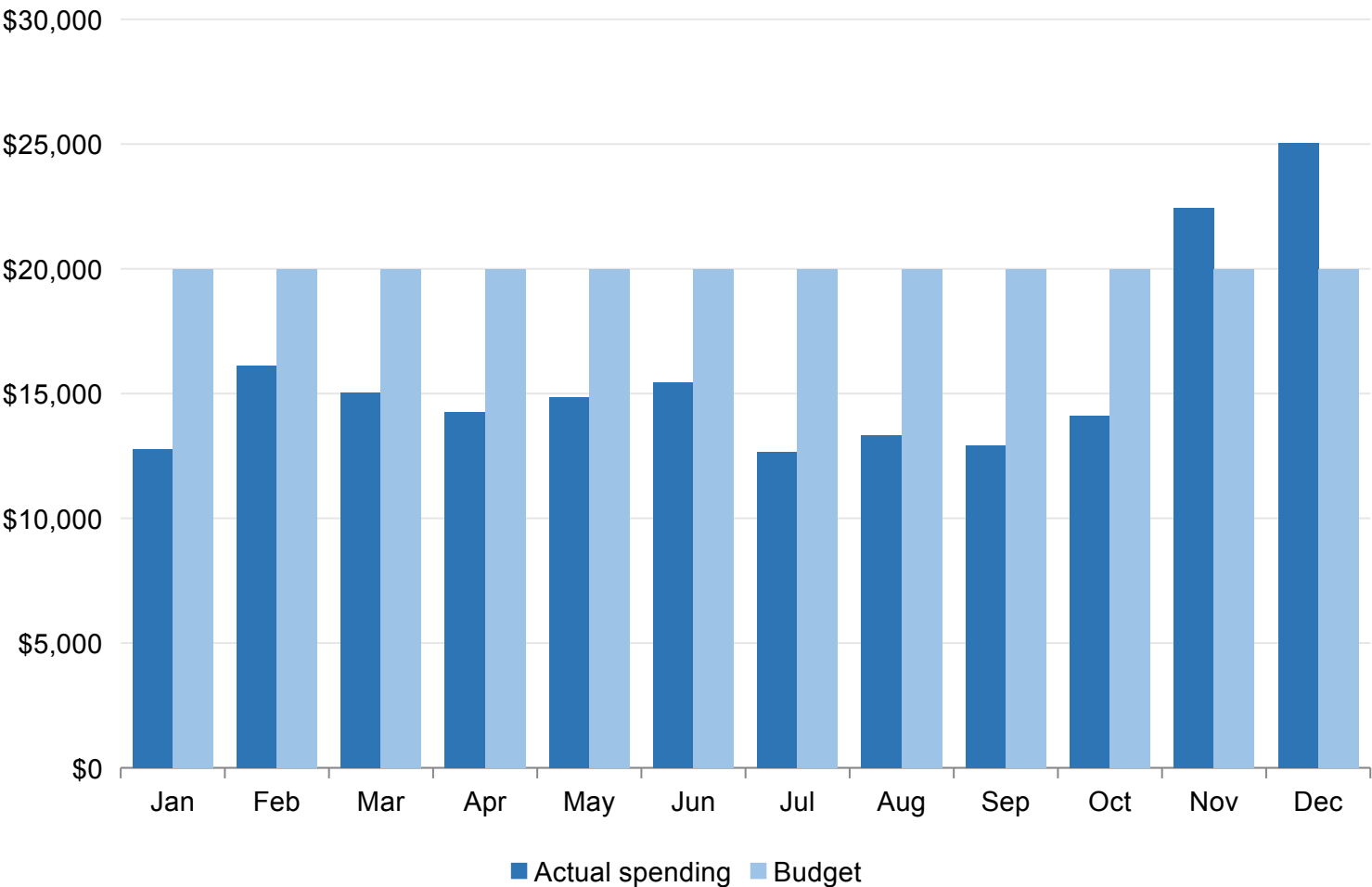
Year ended December 31, 2025

USD	2025	% of net revenue
Merchandise sales	\$200,956	99.1%
Shipping income	\$7,631	3.8%
Discounts, returns and refunds	(\$5,853)	(2.9%)
Net revenue	\$202,734	100.0%
Cost of goods sold	\$140,408	69.3%
Gross profit	\$62,326	30.7%
Operating expenses	\$49,111	24.2%
Operating income	\$13,215	6.5%
Net income	\$13,215	6.5%

- Gross margin 30.7%: designer fragrance resells on thin margins; Car Perfume and refills run near 75%.
- Fees and fulfillment are the largest costs after product: \$33,786 together, 16.7% of revenue.
- No income tax line: the LLC is a pass through entity.

Budget vs actual

Spending against the flat \$20,000 monthly budget

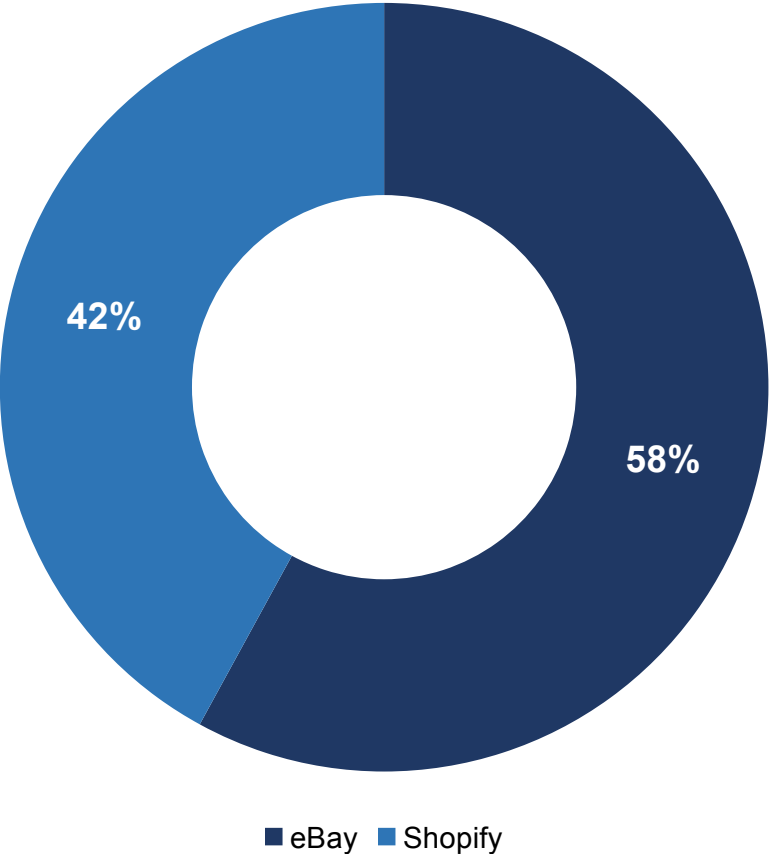


- Full year: \$189,016 spent against \$240,000, 21.2% under.
- Over budget: Nov by \$2,443, Dec by \$5,027, the holiday peak.
- Most under: Jul, by \$7,329.
- A flat budget hides seasonality. The FY2026 forecast phases it month by month.

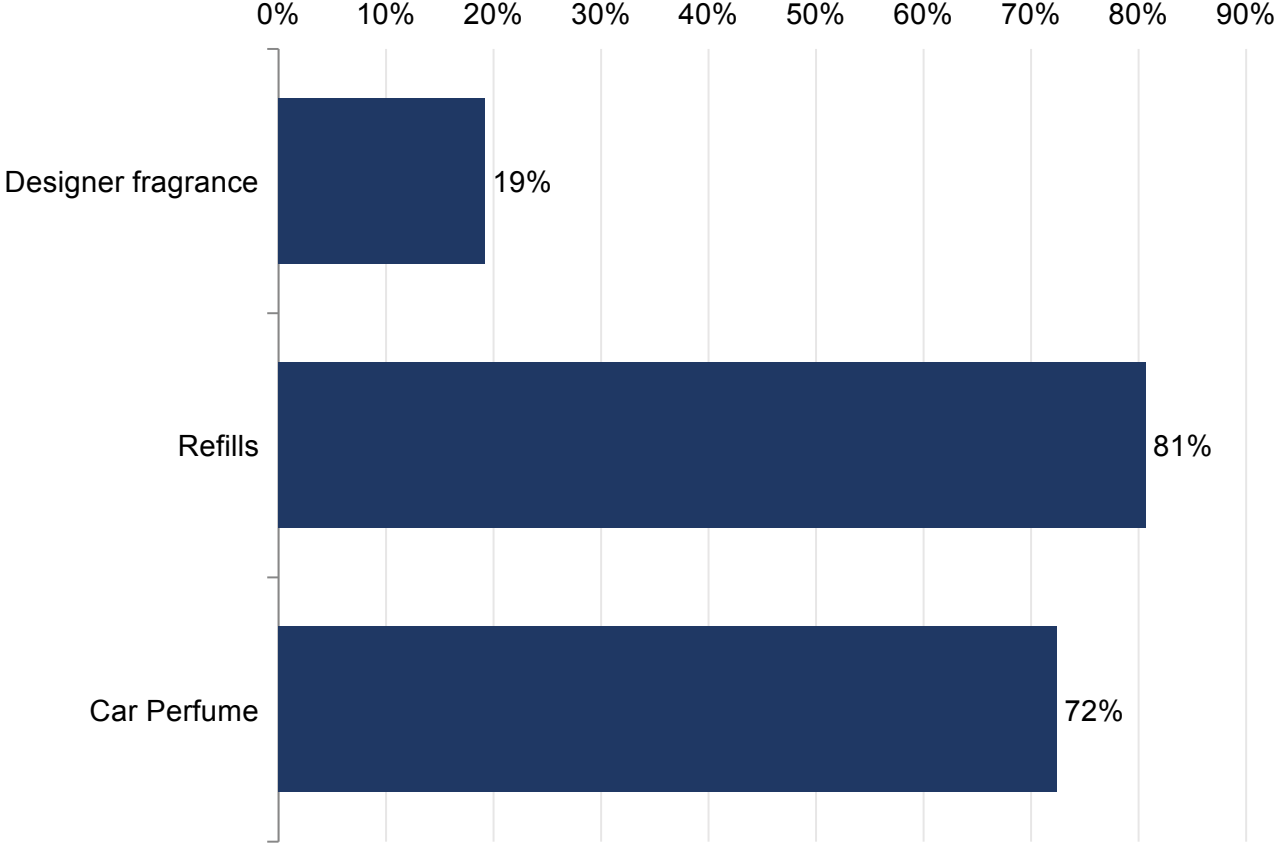
Channels and product lines

Where the sales come from, and where the margin is

Merchandise sales by channel

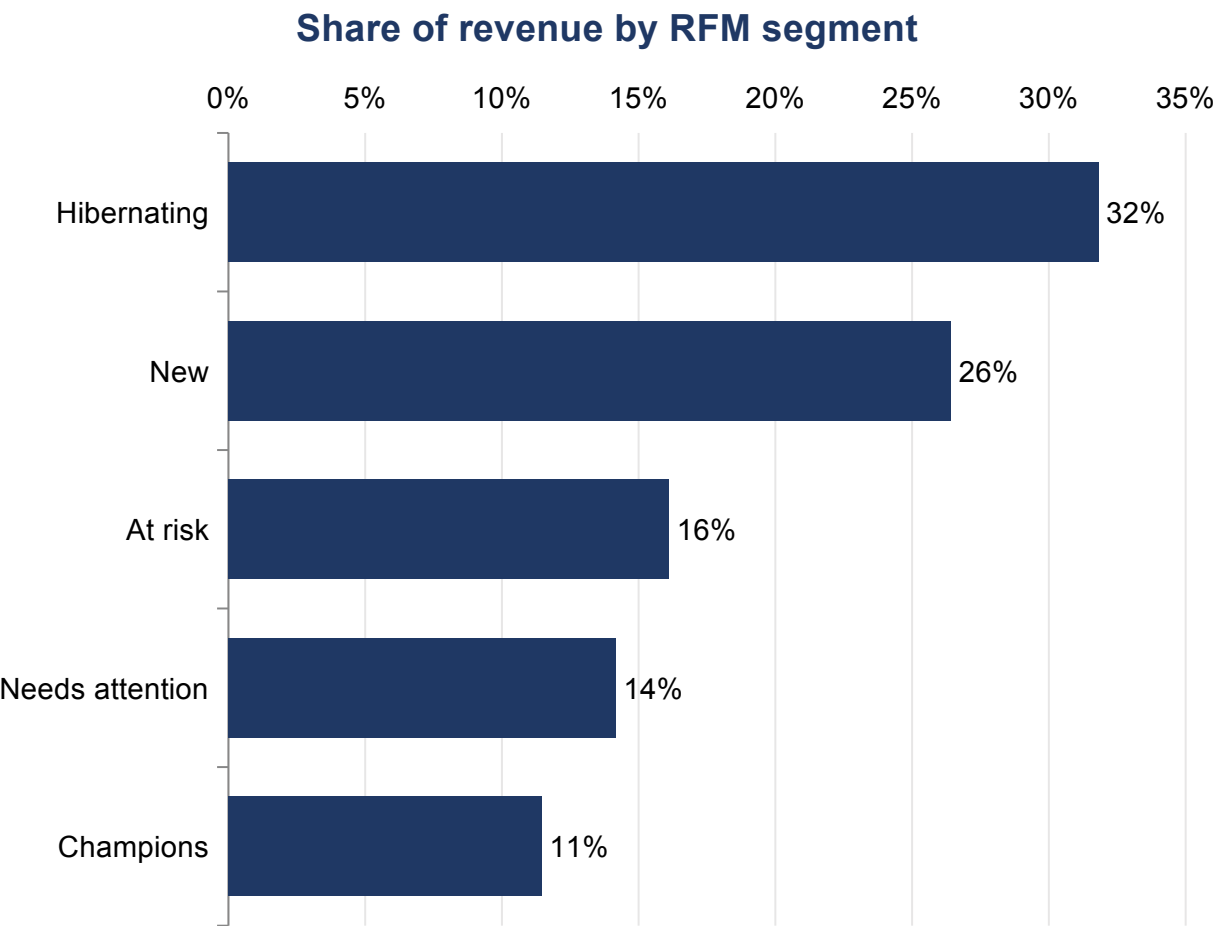


Gross margin by product line



Customers

RFM segments and repeat purchase, from the CRM database



- 2,058 customers in the year; 23.6% bought more than once.
- Shopify customers repeat at 29.5%, eBay at 15.7%: refills bring Car Perfume buyers back.
- eBay buyers spend more per customer: \$134 against \$70.
- Next step: win back the Hibernating segment with a refill reminder email.

Balance sheet and cash flow

December 31, 2025, against the January 1 opening balance

USD	Dec 31, 2025	Jan 1, 2025
Cash	\$13,286	\$9,000
Accounts receivable	\$2,596	\$2,374
Inventory	\$2,198	\$700
Equipment, net	\$1,144	\$0
Total assets	\$19,223	\$12,074
Accounts payable	\$8,374	\$8,019
Sales tax payable	\$787	\$708
Members' equity	\$10,062	\$3,347
Total liabilities and members' equity	\$19,223	\$12,074

- Operations produced \$12,433 of cash.
- Equipment took \$1,647; the member put in \$2,500 and drew \$9,000.
- Cash rose from \$9,000 to \$13,286. No debt.

FY2026 outlook

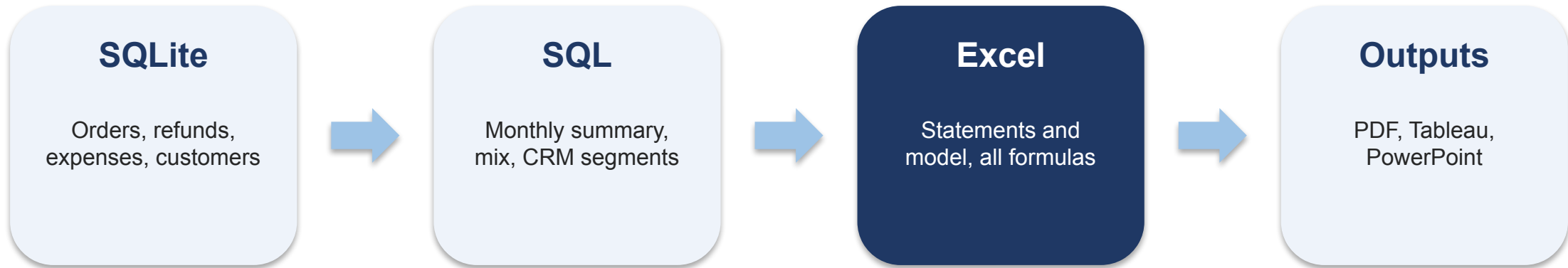
Three scenarios from the forecast model

Scenario	Net revenue	Net income	Net margin	Cash at year end
Base	\$223,008	\$15,846	7.1%	\$18,882
Upside	\$243,281	\$20,019	8.2%	\$19,354
Downside	\$192,597	\$10,253	5.3%	\$18,088

- Base: revenue grows 10.0% and gross margin improves 0.5 points as the own brand mix rises.
- Upside: 20.0% growth. Downside: a 5.0% decline with margin pressure. Cash stays positive in all three.
- The scenario switch on the Assumptions sheet reruns every line of the forecast.

How this was built

The same pipeline an FP&A team runs every month



- 15 integrity checks tie the pack together: the balance sheet balances every month, cash flow agrees with the balance sheet, and sales agree with SQL control totals.
- Every statement traces back to the database; change an assumption and the whole pack updates.
- Prepared by George Murad.